



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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**Circular to Licensed Corporations licensed
for Type 1 or Type 8 regulated activity and Associated Entity**

Implementation of 140% replying limit with effect from 1 October 2007

The SFC reminds all licensed corporations which were licensed on or before 1 October 2006 for Type 1 or Type 8 regulated activity to prepare for the implementation of the 140% replying limit and other related changes.

Currently, such licensed corporations are required to comply with a 180% replying limit over a one-year transitional period which ends on 30 September 2007. Upon expiry of the transitional period, these licensed corporations will be required to comply with a 140% replying limit with effect from 1 October 2007.

Licensed corporations are expected to be ready to implement the above requirement and are reminded to take prompt action wherever necessary to ensure compliance. Licensed corporations are urged to contact the SFC as soon as possible if there are any questions regarding the requirement or if a licensed corporation anticipates any difficulty in implementing the requirement.

At present, any licensed corporation licensed on or before 1 October 2006 for Type 1 or Type 8 regulated activity is required by the Securities and Futures (Financial Resources) Rules to adjust its ranking liabilities if the financial accommodation obtained by it is wholly or partly secured by securities collateral provided by its margin clients and exceeds the threshold of 65% of the aggregate of amounts receivable from its margin clients. Please note that with effect from 1 October 2007, the existing threshold of 65% will be relaxed to 80% of the aggregate of amounts receivable by a licensed corporation from margin clients.

For details of the the above requirements and the related transitional provisions, please refer to sections 8A and 14 of the Securities and Futures (Client Securities) Rules and sections 42(2) and 60(6A) of the Securities and Futures (Financial Resources) Rules. For the full text of this legislation, please go to the SFC website: <http://www.sfc.hk> and look for “Legislation & Regulatory Handbook” > “Legislation” > “Securities and Futures Ordinance (including subsidiary legislation)”.

For enquiries, please contact Ms Denise Chan at 2842-7751.

Intermediaries Supervision Department
Intermediaries & Investment Products Division
Securities and Futures Commission